Cost of 1kg of cast material = ₹55
Cost of 100 kg of cast material = 55 × 100
= ₹5500
Loading charge = ₹200
Transportation (freight) = ₹400
Unloading charge = ₹200
Cost of raw materials = 5500+200+400+200
= ₹6300

Machining Charges

Total machining time = 160 hours
Total working days = 160/8
= (1 day = 8 hours)
= 20 days.

WORKERS WAGES

Workers wages for 1 day = ₹500
Workers wages for 1 day = 500 × 20
= ₹10000

ADMINISTRATIVE EXPENDITURE

Total administrative charges = ₹1000

Total cost estimation=cost of raw materials + machining charges + worker's charges+ administrative expenditure

= 6300+34000+10000+1000
Total estimation cost = ₹51,300
Profit percentage = 15%
Profit for total cost = 51300 × 15%
= 51300 × 15/100
= ₹7695
Cost of 100 gears = total cost estimation+profit
= 51300+7695
Cost of single gear = 58995/100
= ₹589.95
Cost of a single gear = ₹590.

GLOSSARY

1. Raw Materials – கச்சா பொருட்கள்
2. Expenditure – செலவினம்

ACTIVITIES

1) To visit any workshop and collect the Cost Estimation of the following process.
   a) Lathe Work (turning, Thread cutting)
   b) Drilling
   c) Welding

And collect the name the machines to perform the above process.

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